

THE NATURE OF MANAGEMENT 30060 – MANAGEMENT

Management book - Chapter 4

Department of Management & Technology



AGENDA

1. WHAT DO MANAGERS DO?
2. THE MAJOR FUNCTIONS OF MANAGEMENT
3. LEVELS OF MANAGEMENT
4. DECISION MAKING
5. SUMMARY OF MAIN POINTS



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SCHOOL

1.0

WHAT DO MANAGERS DO?



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What is Management? Who are Managers?



Recall the definition of **MANAGEMENT**

Management is a process designed to achieve an organization's objectives by using its resources effectively and efficiently in a changing environment.



We define **MANAGERS**

Managers make decisions about the use of the organization's resources and are concerned with planning, organizing, directing, and controlling the organization's activities to reach its objectives.



What do managers do?

Read the full article at
<https://www.balancethegrind.com.au/daily-routines/jack-dorsey-daily-routine/>



Jack Patrick Dorsey

Read the full article at <https://www.balancethegrind.com.au/daily-routines/jack-dorsey-daily-routine/>

“ *All my days are themed. Monday is management. At Square we have a directional meeting, at Twitter we have our opcomm [operating committee] meeting. Tuesday is product, engineering, and design. Wednesday is marketing, growth, and communications. Thursday is partnership and developers. Friday is company and culture. It works in 24-hour blocks. On days beginning with T, I start at Twitter in the morning, then go to Square in the afternoon. Sundays are for strategy, and I do a lot of job interviews. Saturday is a day off.*

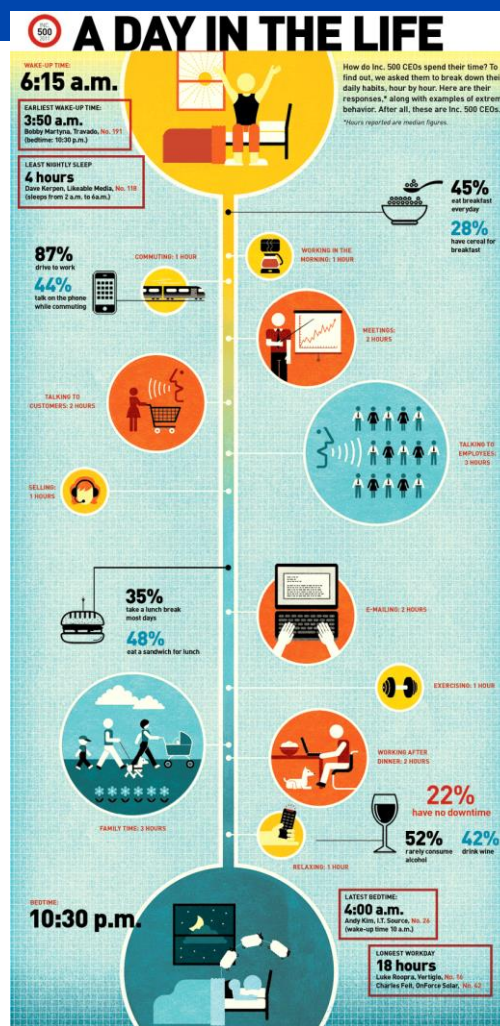


Before you commit at becoming one of them,

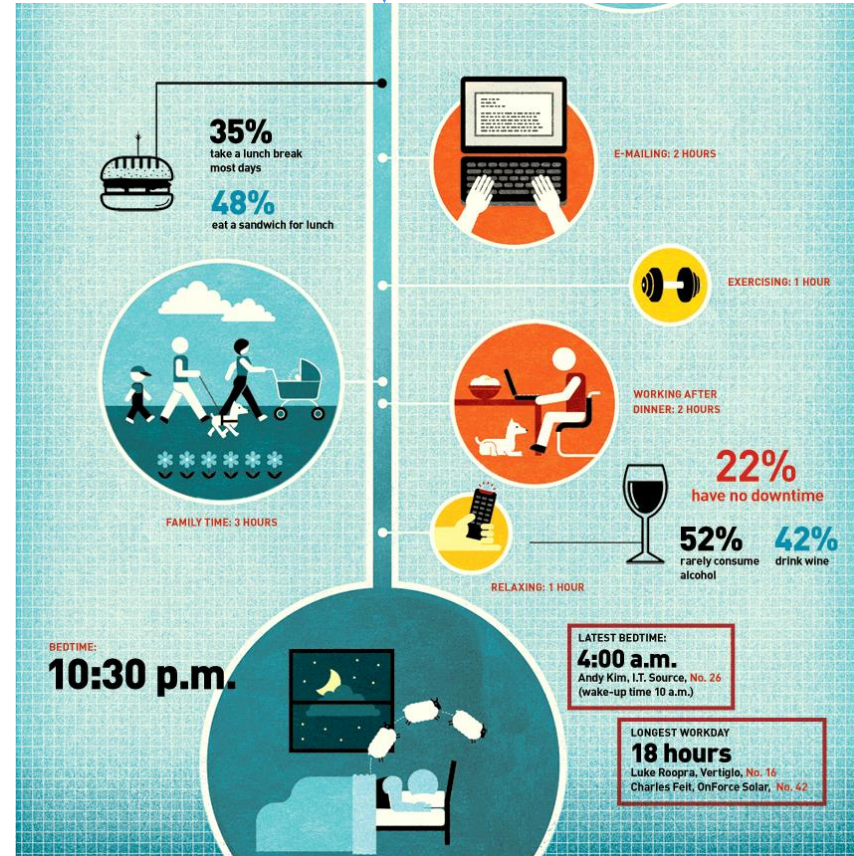
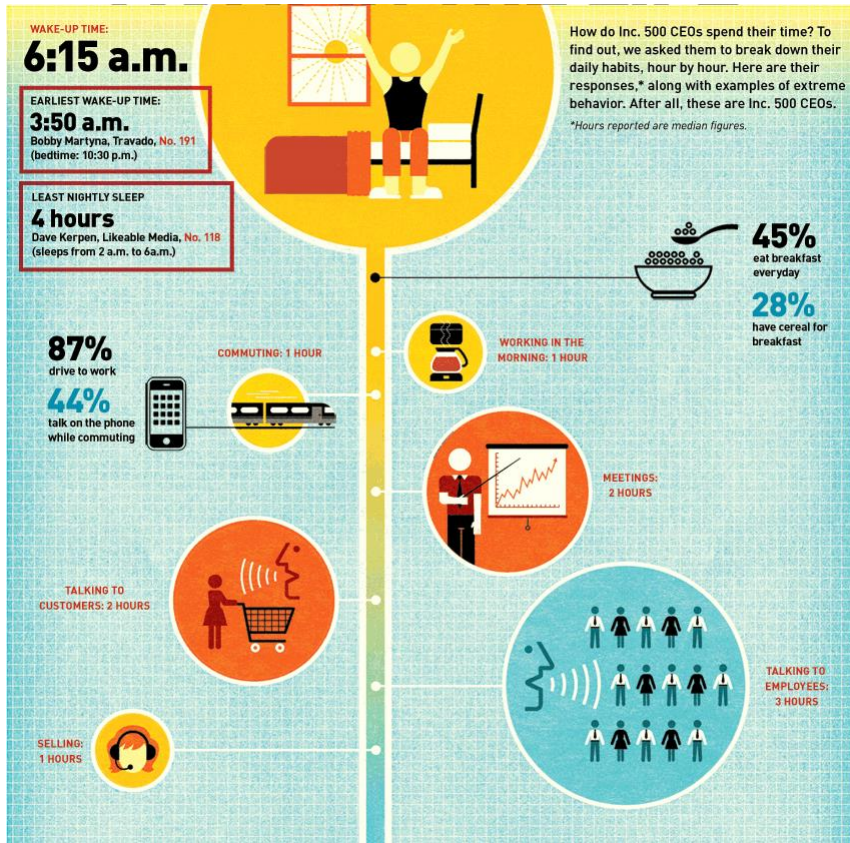
let's have a look at a typical day of a «500 fastest growing private companies' CEO»



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Source: The muse



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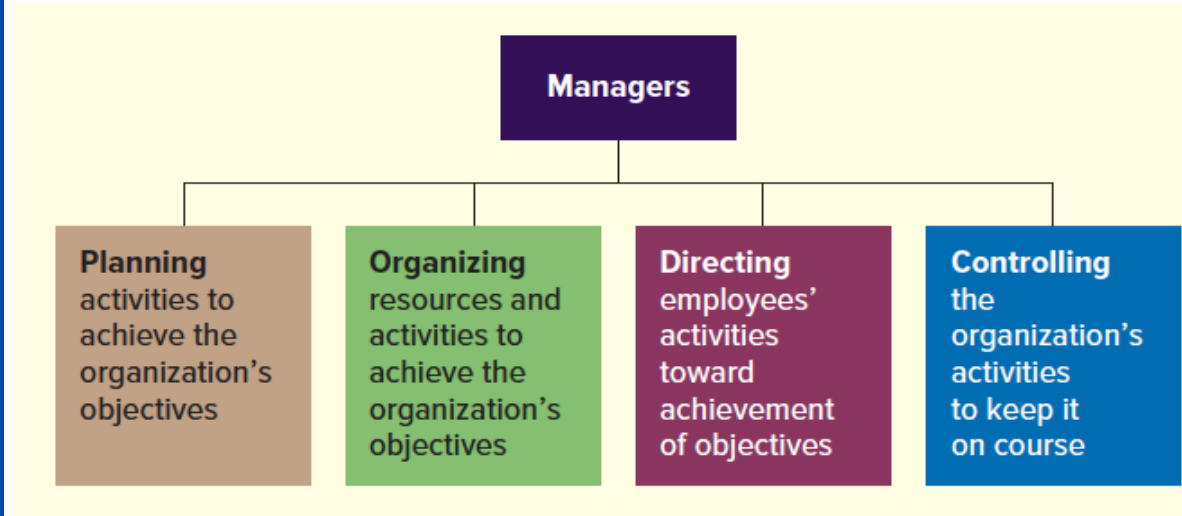
THE MAJOR FUNCTIONS OF MANAGEMENT



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Management functions

Managers engage in a series of activities to harmonize the use of resources, so that the business can develop, produce, and sell products



Planning

THE PLAN SPECIFIES

What should be done
By whom
When
How

GOAL is what a firm WISHES TO ACHIEVE

An attribute sought
A target to be achieved
A time frame

- Profit
- Product quality
- Volume of sales

OBJECTIVES derive from the MISSION

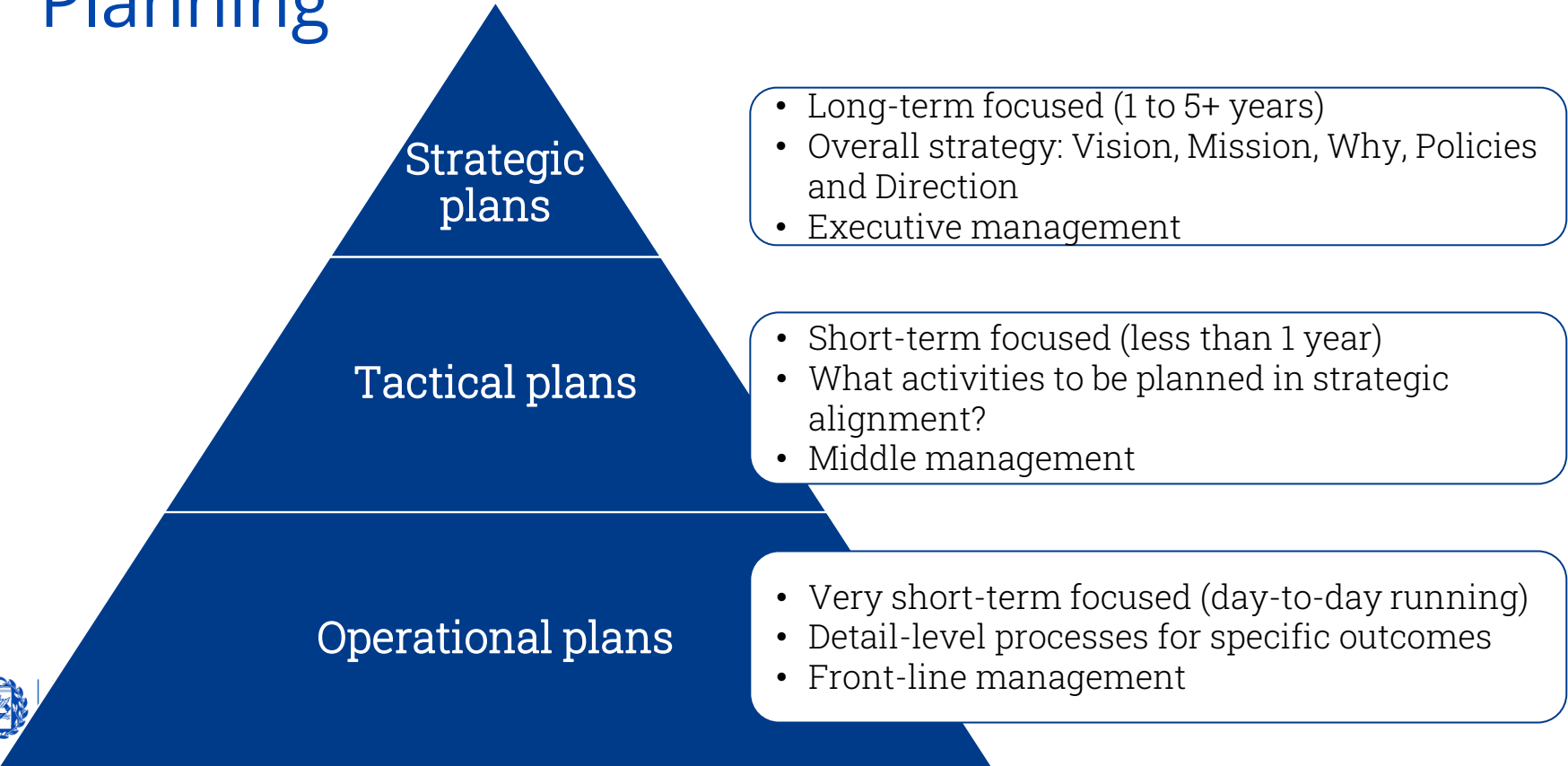
Objectives are measurable:

- % of sales increase
- Market share
- Efficiency (i.e. making the best use of the organization's resources)
- Growth

Competitive
advantage



Planning



Strategic plans

- Long-term focused (1 to 5+ years)
- Overall strategy: Vision, Mission, Why, Policies and Direction
- Executive management

Tactical plans

- Short-term focused (less than 1 year)
- What activities to be planned in strategic alignment?
- Middle management

Operational plans

- Very short-term focused (day-to-day running)
- Detail-level processes for specific outcomes
- Front-line management



Whose is this company Mission?

"We aim to be Earth's most customer centric company. Our mission is to continually raise the bar of the customer experience by using the internet and technology to help consumers find, discover and buy anything, and empower businesses and content creators to maximise their success."



Whose is this company Mission?

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"We aim to be Earth's most customer centric company. Our mission is to continually raise the bar of customer experience by using the internet and technology to help consumers find, discover and buy anything, and empower businesses and content creators to maximise their success."



Answer to the question:

"What business are we in?"

The mission statement is a declaration of an organization's fundamental purpose and basic philosophy

When KFC ran out of chicken... bad planning at work

WE'RE SORRY

A chicken restaurant without any chicken. It's not ideal. Huge apologies to our customers, especially those who travelled out of their way to find we were closed. And endless thanks to our KFC team members and our franchise partners for working tirelessly to improve the situation. It's been a hell of a week, but we're making progress, and every day more and more fresh chicken is being delivered to our restaurants. Thank you for bearing with us.

Visit kfc.co.uk/crossed-the-road for details about your local restaurant.



THE **CHICKEN** CROSSED THE ROAD, **JUST** NOT TO OUR RESTAURANTS...

WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX!

WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS.

SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.



Mission VS Purpose



MISSION VS. PURPOSE

What	↔	Why
Job	↔	Calling
Head	↔	Heart
Functional	↔	Emotional
Pragmatic	↔	Ambitious
Guiding	↔	Reaching
Tangible	↔	Aspirational
Focusing	↔	Empowering
Plan	↔	Goal
Strategic	↔	Cultural

Organizing, Directing and Controlling

ORGANIZING

Structuring of resources and activities to accomplish objectives in an efficient and effective manner

DIRECTING

Motivating and leading employees to achieve organizational objectives

CONTROLLING

Evaluating and correcting the activities to keep the organization on course

- Measuring performance
- Comparing present performance with objectives
- Identifying deviations from the standards
- Investigating the causes of deviation
- Taking corrective action when necessary



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LEVELS OF MANAGEMENT



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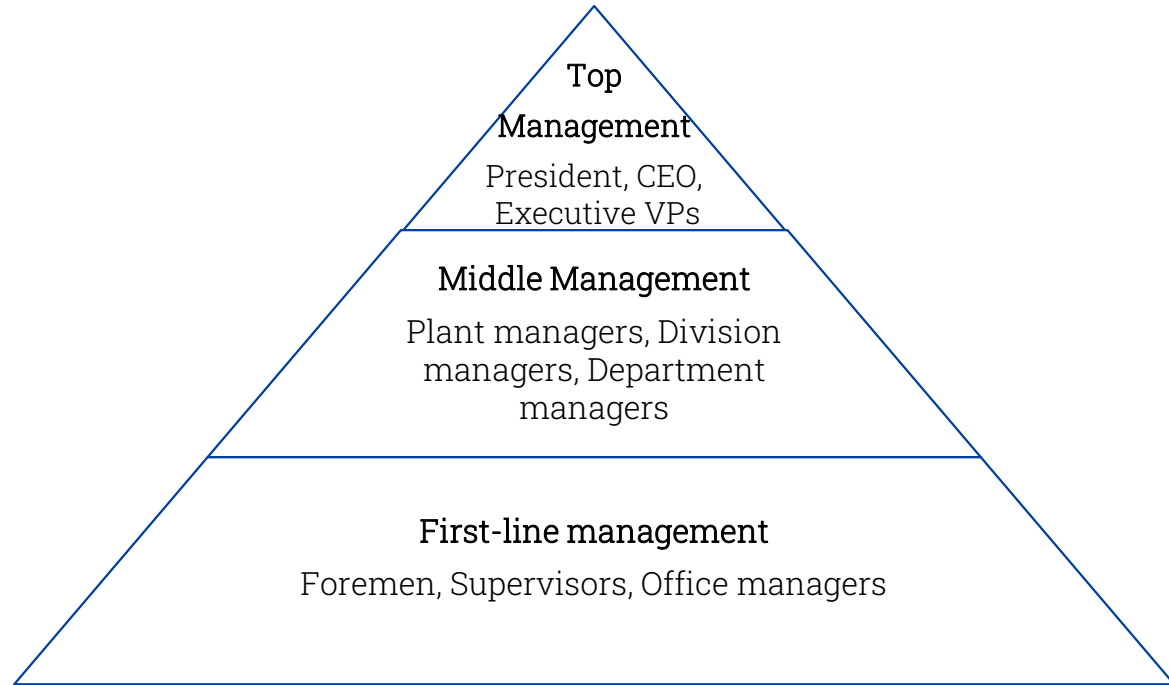
What have in common a sole proprietor of a Jewelry store and the hundreds of managers of a large company



Levels of management

More middle management than Top Management

Differences across firm's size (Small, Medium, and Large firms)



Levels of Management

TOP MANAGERS

Spend most of their time planning

Make the organization's strategic decisions

- CEO
- CFO
- COO

MIDDLE MANAGEMENT

Responsible for tactical and operational planning to implement the general guidelines established by Top management

- Plant Managers
- Division Managers
- Department Managers

FIRST-LINE MANAGEMENT

Supervise workers and the daily operations of the organization.

Direct and Control

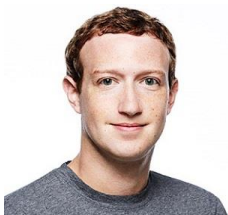
- Foreman
- Supervisor
- Office Manager



Top Managers

CEO

Chief Executive Officer manages the overall strategic direction of the company and represents the company to stakeholders



Zuckerberg

CFO

Chief Financial Officer manages the financial operations of the company and reports to the CEO



Wehner

COO

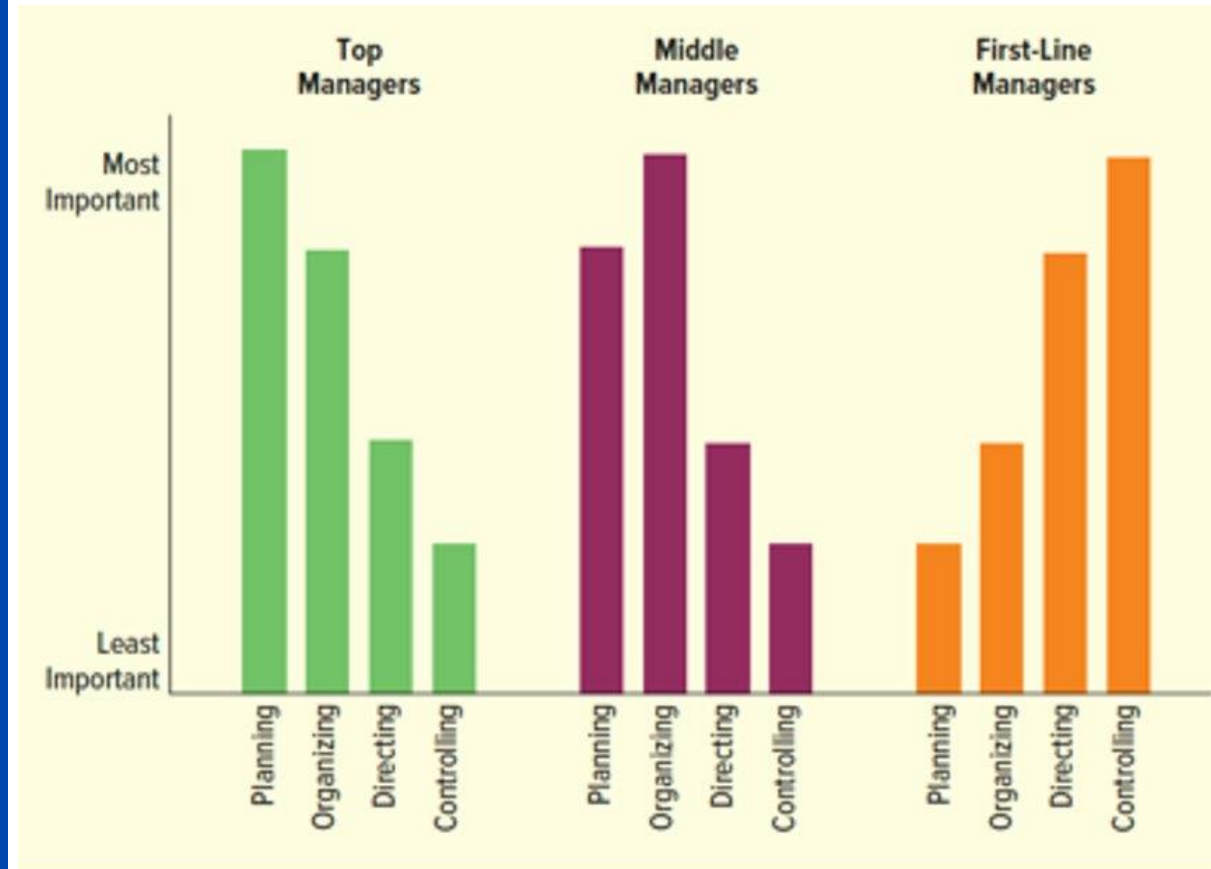
Chief Operating Officer is responsible for daily operations of the company and reports to the CEO



Sandberg



Importance of Management functions in each level



Areas of Management

There are managers who specialize in the basic functional areas of business, which are important to business' success.

Manager	Function
Financial Manager	Focus on obtaining the money needed for the successful operation of the organization and using that money in accordance with organizational goals
Production and operations manager	Develop and administer the activities involved in transforming resources into goods, services, and ideas ready for the marketplace
Human resource manager	Handle the staffing function and deal with employees in a formalized manner
Information Technology (IT) manager	Responsible for implementing, monitoring, and controlling technology applications in business, such as computer networks
Marketing manager	Responsible for planning, pricing, and promoting products and making them available to customers through distribution
Administrative manager	Manage an entire business as a major segment of a business



Managers skills

01

TECHNICAL EXPERTISE

Specialized knowledge and training required to perform jobs

Most needed by first-line managers

02

CONCEPTUAL SKILLS

The ability to think in abstract terms. Think creatively!

Important for Top Management



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03

ANALYTICAL SKILLS

The ability to identify relevant issues and recognize their importance.

Important for Top Management

04

HUMAN RELATION SKILLS

The ability to deal with the people, inside and outside the organization.

Important for all Levels of Management

Leadership style

Autocratic Leadership

Make all decisions and then tell employees what must be done

Democratic Leadership

Involve their employees in decision

Free-rein Leadership

Let their employees work without much interference

Authentic Leadership

Passionate about the goals and mission of the company, display corporate values in the workplace and form long-term relationships with the stakeholders



Leadership style

Democratic Leadership

He is known for surrounding himself with people who disagree and challenge him.



Tim Cook

Autocratic Leadership

She is a meticulous boss who's very demanding of her employees. She has a very clear vision to share with her staff and her customers



Martha Stewart

Free-rein Leadership

He places immense trust in his managers and gives them a broad leeway to run their operations.



Warren Buffett

Authentic Leadership

"During my lifetime, I have always nurtured a dream: useful work to achieve an important goal. I have always felt that business profit alone was not enough to fulfil my dream and a higher purpose was to be found."



Brunello Cucinelli

Leadership style



“Musk’s leadership approach involves using **a mix of autocratic, democratic and laissez-faire** to accomplish his goals. His autocratic style is often used to make quick decisions, and his democratic style promotes open dialogue while allowing for different ideas to be shared.

Meanwhile, his laissez-faire approach allows team members to take responsibility for their own decisions and actions without being constantly monitored.”



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DECISION MAKING



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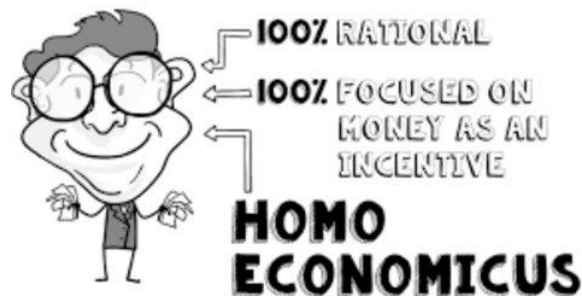


How did you choose to study in
Bocconi?
How did you choose the specific
Bocconi program?



Homo economicus

- Ability to compare alternative opportunities
- Ability to elaborate all available information
- Individual preferences described by utility functions
- Individual maximization of utility
- Goal: maximization of income and wealth
- Not much room for e.g. reciprocity, trust and emotions



LET'S PLAY A GAME



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Rules of the game

- 2 players , player 1 (P1) and player 2 (P2)
- The 2 players decide how to divide a given amount between them
- P1 proposes a division of the amount
- P2 can accept or reject
- If accepted, both players gets the agreed shares
- If rejected players get nothing



The Ultimatum Game

The proposer should offer the smallest possible share and responder would accept it (Rubinstein, 1982).

On average, offers are **40-50%** of the amount.

About **half** of the responders reject offers **below 30%**



How is that possible?



Country	N (1)	Mean offer (2)	Mean reject (3)
Austria	1	39.21	16.10
Bolivia	1	37.00	0.00
Chile	1	34.00	6.70
Ecuador	2	34.50	7.50
France	3	40.24	30.78
Germany	1	36.70	9.52
Honduras	1	45.70	23.05
Indonesia	4	46.63	14.63
Israel	5	41.71	17.73
Japan	3	44.73	19.27
Yugoslavia	1	44.33	26.67
Kenya	1	44.00	4.00

Country	N (1)	Mean offer (2)	Mean reject (3)
Mongolia	2	35.50	5.00
Netherlands	2	42.25	9.24
Papua New- Guinea	2	40.50	33.50
Paraguay	1	51.00	0.00
Peru	1	26.00	4.80
Romania	2	36.95	23.50
Slovakia	3	43.17	12.67
Spain	1	26.66	29.17
Sweden	1	35.23	18.18
Tanzania	4	37.50	19.25
UK	2	34.33	23.38
US East	22	40.54	17.15
US West	6	42.64	9.41



THE UNUSUAL DISEASE

- Imagine that the US is preparing for an unusual disease, which is expected to kill 600 people
- Two alternative programs: make a decision!



The Unusual Disease

- Imagine that the US is preparing for an unusual disease, which is expected to kill 600 people.
- Two alternative programs:

PROGRAM A: 200 people will be saved

PROGRAM B: 1/3 prob. of saving 600 people and 2/3 prob. Of saving 0

PEOPLE CHOOSE A

PROGRAM C: 400 people will die

PROGRAM D: 1/3 prob. that nobody will die and 2/3 prob. That 600 will die

PEOPLE CHOOSE D



So...framing matters!

- Program A: 200 people will be saved (out of 600)
 - Program B: 1/3 prob. of saving 600 people and 2/3 prob. of saving 0
 - Program C: 400 people will die (out of 600)
 - Program D: 1/3 prob. that nobody will die and 2/3 prob. that 600 will die
-
- Programs A and C are the same, as are programs B and D
 - But people show a preference for option A and option D
 - If framed in terms of «lives saved» then participant prefer the secure program (A) If framed in terms of «expected deaths», participants prefer to chose the gamble D



What might restrict individuals' actions?

Let's say you want to buy a laptop



What might restrict individuals' actions?

Let's say you want to buy
a laptop

- Income
- Time
- Memory
- Analytical abilities
- Resources and opportunities
- Preferences or tastes



Human Being

Alternative set of – more realistic – assumptions on individual behavior:

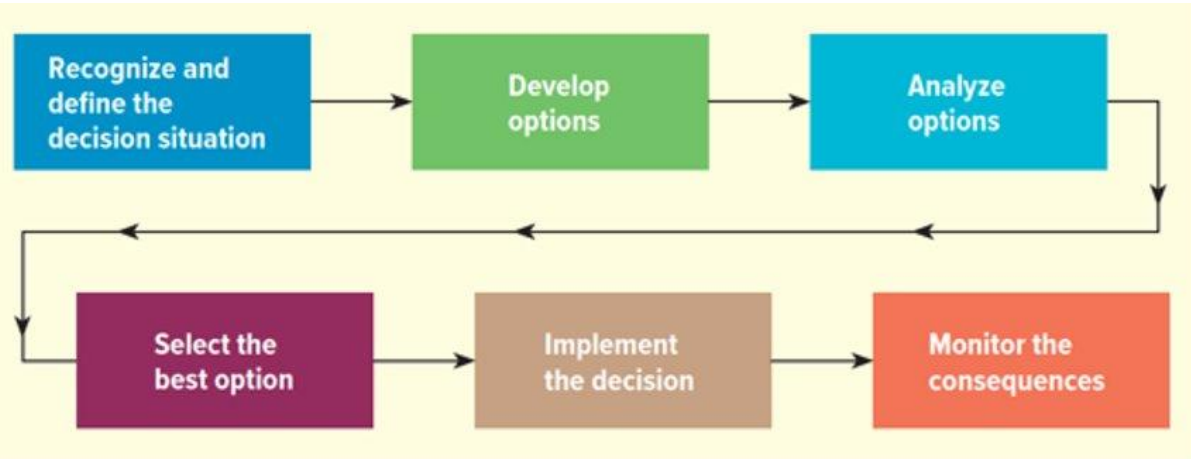
- Presence of information costs and cognitive limits
- Preferences also shaped by social capital, social interactions, etc.
- Cooperation and trust
- Economic activity as a mean to achieve personal ends

Goal: maximization of well-being



How do companies make decisions?

The 6 steps approach usually leads to more effective decision making



4.0

SUMMARY OF MAIN POINTS



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01

Managers plan, control, organize, staff and direct.

02

There are three levels of management: Top Management, Middle Management and Front-Line Management.

03

Understand how individuals make decisions, and how decision making is within firms.

